

7-1d Productivity and Balance of Payments

In international trade, the rise of a country’s productivity, relative to that of other countries, will improve its competitive position—this is the basic proposition of the theories of absolute and comparative advantage (see [Chapter 5](#)). More foreign direct investment (FDI) will be attracted to the country, fueling demand for its home currency. One recent example is China. Most of the China-bound FDI inflows in dollars, euros, and pounds must be converted to local currency, boosting the demand for the yuan and, hence, its value.

Recall from [Chapter 5](#) that changes in productivity will change a country’s balance of trade. A country highly productive in manufacturing may generate a merchandise trade surplus, whereas a country less productive in manufacturing may end up with a merchandise trade deficit. These have ramifications for the

balance of payments (BoP) (A country’s international transaction statement, which includes merchandise trade, service trade, and capital movement.)

—officially known as a country’s international transaction statement, including merchandise (goods) trade, service trade, and capital movement. [Table 7.2](#) shows that the United States had a merchandise trade deficit of US\$702 billion and a service trade surplus of US\$226 billion in 2013. In addition to merchandise and service trade, we add receipts on US assets abroad (such as repatriated earning from US multinational enterprises [MNEs] in Ireland and dividends paid by Japanese firms to American shareholders), subtract payments on US-based foreign assets (such as repatriated earnings from Canadian MNEs in the United States to Canada and dividends paid by US firms to Dutch shareholders), and government grants and private remittances (such as US foreign aid thrown at Iraq and the money that Mexican farm hands in America sent home). After doing all of the math, we can see that the United States ran a US\$405 billion current account deficit. Technically, the current account balance consists of exports minus imports of merchandise and services, plus income on a country’s assets abroad minus payments on foreign assets in the focal country, plus government transfers and private remittances.

Table 7.2

The US Balance of Payments (Billion US Dollars)

I. Current Account

1. Exports of goods (merchandise)	1,592
2. Imports of goods (merchandise)	−2,294

I. Current Account

3. Balance on goods (merchandise trade—lines 1 + 2)	-702
4. Exports of services	682
5. Imports of services	-456
6. Balance on services (service trade—lines 4 + 5)	226
7. Balance on goods and services (trade deficit/surplus—lines 3 + 6)	-476
8. Income receipts on US-owned assets abroad	767
9. Income payments on foreign-owned assets in the US	-558
10. Government grants and private remittances	-137
11. Balance on current account (current account deficit/surplus—lines 7 + 8 + 9 + 10)	-405

II. Financial Account

12. US-owned private assets abroad (increase/financial outflow = - [negative sign])	-586
13. Foreign-owned private assets in the US	959
14. Balance on financial account (lines 12 + 13)	373
15. Overall balance of payments (Official reserve transactions balance—	-32

I. Current Account

lines 11 + 14)

Source: *This is a simplified table adapted from US Department of Commerce, Bureau of Economic Analysis, 2014, US International Transactions: Fourth Quarter and Year 2013, Table 2, Washington: BEA (www.bea.gov [accessed September 21, 2014]). This table refers to 2013. The official table has 109 lines. Numbers may not add due to rounding.*

A current account deficit has to be financed by financial account—consisting of purchases and sales of assets. This is because a country needs to balance its accounts in much the same way as a family deals with its finances. Any deficit in a family budget must be financed by spending from savings or by borrowing. In a similar fashion, the overall US deficit of US\$32 billion was financed by spending from savings and borrowing (selling US government securities such as Treasury bonds to foreign central banks, such as the People's Bank of China).

To make a long story short, a country experiencing a current account surplus will see its currency appreciate. Conversely, a country experiencing a current account deficit will see its currency depreciate. This may not happen overnight, but will happen in a span of years and decades. The current movement between the yuan (appreciating) and the dollar (depreciating) is but one example. Going back to the 1950s and the 1960s, the rise of the dollar was accompanied by a sizeable US surplus on merchandise trade. By the 1970s and the 1980s, the surplus gradually turned into a deficit. By the 1990s and the 2000s, the US current account deficit became ever increasing, forcing the dollar to depreciate relative to other currencies in developed economies such as the euro, the Canadian dollar, the Australian dollar (see [In Focus 7.1](#)), and the Swiss franc, as well as currencies in emerging economies, such as the yuan and the Brazilian real. Broadly speaking, the value of a country's currency is an embodiment of its economic strengths, as reflected in its productivity and balance of payments positions. Overall, the recent pressure for the US dollar to depreciate is indicative of the relative (not absolute) decline of the US economic strengths, compared with its major trading partners.

In Focus 7.1

Australian Wine: Made from the Grapes of Currency Wrath

Why do the Australian wines become more expensive overseas?

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Celebrations, a wine shop in the inner Sydney suburb of Newtown, sells Moët & Chandon Burt Impérial, a popular French Champaign produced by LVMH Moët Hennesy Louis Vuitton, for A\$49.99 (US\$52.61) a bottle. Wine House, a Melbourne-based online store, is selling LVMH's Chandon Green Point Cuvée 1995, a sparkling wine produced in Australia's Yarra Valley, for A\$52. Much to the dismay of Australia's wine industry, its days of offering lower-priced alternatives to French vintages are fading.

With the Australian dollar at record levels against the euro, Aussie vintners are caught in a double-bind: Exports have been slammed as the cost of Australian wine has risen overseas, while oenophiles back home are embracing European bottles that suddenly are bargains. Imported wine has rarely been more affordable, with prices for some labels dropping 30%. "It's absolutely fantastic," says Jeremy Oliver, a Melbourne-based wine critic. "If you have A\$100 (US\$105) in your pocket, that will get you a top bottle of Australian cabernet or shiraz. Today it also buys you a pretty

serious Bordeaux, a very good Italian from any region, or a sensational Spanish red.”

Australia, the world’s largest wine exporter by volume outside of Europe, saw the value of its exports decline to the lowest level in a decade in 2011, falling 10% from a year earlier, to A\$1.89 billion. At Melbourne-based Treasury Wine Estates, the world’s second-biggest publicly traded vintner and owner of the Lindeman’s and Penfolds brands, sales in the US, its largest market, fell 15%, to A\$803 million, in the year through June 2011. The currency hit is more pronounced in Europe, where the euro fell 8.9% over the last three months (in 2011) to make it the worst-performing major currency against the Australian dollar, compared with a 2.2% decline for the US dollar.

That is quite a turnabout. Driven by signature brands such as Yellow Tail and Jacob’s Creek and support from influential critics such as Robert Parker, Australia’s exports rose more than fourfold in the ten years to 2007, when they peaked at 786 million liters. Australia overtook France as Britain’s top supplier of imported wine in 2005 and for a brief time in 2008 was the front-runner in the United States.

Then things turned. Competition had for years been increasing from other emerging wine areas such as Argentina, Chile, and South Africa, when a domestic glut in Australia put too much low-quality product on the market. In 2009, bush fires swept through the wine country of Victoria state, incinerating vineyards and tainting grapes with smoke. Exports have dropped 11% in the past four years, to 703 million liters in 2011.

The high price of labor and land and the small-scale nature of middle-market wineries in Australia also make it hard to compete with imports, says Oliver. “You can get seriously interesting, diverse wineries from Europe, South America, and South Africa for A\$25 a blow retail,” he says. “In Australia today, the small guys trying to do the equivalent are finding it very hard to get anything in the bottle for under A\$45.”

Since 2005, Australia’s wine import volumes have risen 95%. French wine imports have risen 58%. Every six weeks, for instance, importer John Baker ships in a refrigerated container carrying about 10,800 bottles of French wine to his 270-square-meter (2,900-square-foot) refrigerated warehouse in the Sydney suburb of Artarmon. That’s double the import volume of five years before at his business, Bordeaux Shippers. The Aussie dollar is worth €0.81 now, compared with €0.54 when he started in 2003. “I’ve been selling a 2001 vintage Château tour du Haut Moulin, that’s a 10-year-old wine from Bordeaux, and it’s A\$39 retail; that wine really should be A\$80,” he says.

Source: *Excerpted from Bloomberg Businessweek, 2012, The grapes of currency wrath, January 30: 22–23.*

Chapter 7: Dealing with Foreign Exchange: 7-1d Productivity and Balance of Payments

Book Title: WGU Economics

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